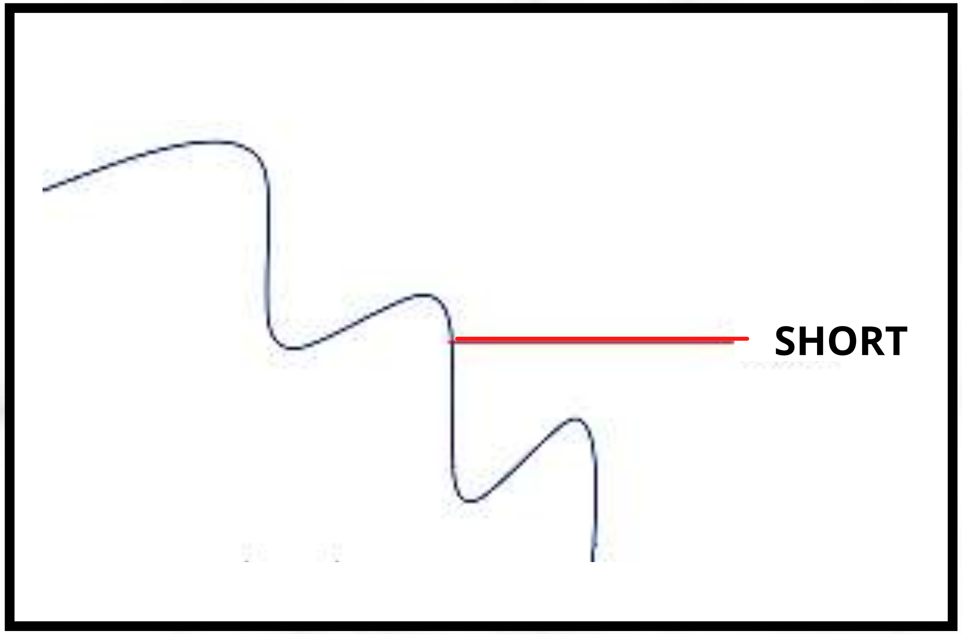
LOWER LOWS

It is the opposite of higher highs. When the market is in a downtrend, we will see that multiple secondary curves are forming lower lows. This means that the low of each secondary curve will be lower than the previous level of support. We will short the asset when a lower low is formed. This level is also the point where we book our profits in case we are long the asset.



HIGHER LOWS

When secondary curves form multiple lows but the subsequent low is higher than the previous low, we can say that it is alarming if we are short the asset that a reversal might be around the corner.